

BEFORE THE FEDERAL MARITIME COMMISSION

MCS INDUSTRIES, INC.,

Complainant

v.

COSCO SHIPPING LINES CO., LTD. AND

MSC MEDITERRANEAN SHIPPING COMPANY S.A.,

Respondents.

DOCKET NO. 21-05

REPLY IN SUPPORT OF RESPONDENT’S MOTION TO DISMISS

Complainant’s opposition to Respondent MSC Mediterranean Shipping Company S.A.’s motion to dismiss (“Compl. Opp.”) acknowledges that a complaint must be sufficient to, among other things, “give the opposing party *notice of what the case is all about.*” Compl. Opp. at 5 (quoting and adding emphasis to *Maier Terminals, LLC v. Port Auth. of N.Y & N.J.*, 34 S.R.R. 35, 58 (FMC 2015)). Given Complainant’s shifting theories of its case, culminating in its request to file an entirely revamped amended complaint months into the case -- a request first surfaced just three days after Complainant presented a joint status report based on the existing Complaint -- it is certainly fair to ask what this case is in fact all about.

The Complaint is not about collusion, we now know, although permeated with allegations of collusion that have now been abandoned.¹ Complainant seeks to wave away its many allegations of collusion as “background/contextual” because its claims do not reference them, *id.*,

¹ Complainant does, however, still try to raise wholly unsupported suggestions of collusion by, for example, accusing MSC of “taking actions (like other ocean carriers) such as ‘blank sailings’ to prop up, and subsequently increase” rates. Compl. Opp. at 6. While not necessary to the motion to dismiss, MSC notes for purposes of an accurate record that the Commission carefully monitors blank, voided, or missed sailings as part of its agreement oversight activities, should there be any hint that MSC (or any other carrier) was missing sailings to artificially limit supply and “prop up” prices, rather than as a result of well-known congestion and equipment shortage issues.

at 6 n.5, but why then were they added to begin with? The obvious inference is that Complainant tried to disguise its assertion of inherently contractual claims by suggesting some kind of industry-wide wrongdoing. Now that these collusion allegations have been abandoned, the inherently contractual nature of the claims is readily apparent.

The Complaint is also not about a supposed plot to force certain shippers into the spot market. That theory was already entirely implausible, given that Complainant's proposed amended complaint and own damages theory assert that the supposed plot was undertaken only for short and varying periods of time only at certain ports.² In any event, it has now been replaced with a new and inconsistent theory that Complainant seeks to present in an amended complaint, that MSC's asserted contractual noncompliance was for purposes of coercing surcharge payments out of Complainant and other shippers. The discovery MSC has been ordered to produce is based on the prior theory.

Nor can the Complaint now be about a supposed refusal to give Complainant the contract space it asked for, which was not a proper refusal to deal claim to begin with, because Complainant does not contest its own transportation manager's confirmation that Complainant awarded MSC less than one half of the space MSC offered it, choosing instead to contract with other carriers. The refusal to deal is now stated in terms of MSC's alleged failures in contract administration and MSC's supposed failure to provide Complainant space it allegedly "needed," but did not ask for.

² The proposed Amended Complaint states, as the current Complaint does not, that three port ranges were involved for a three month period under the 2021 contract, and that the noncarriage was only at two of them during that period, with about half carried at one of those. Proposed Amended Compl. ¶¶ 34, 36. Complainant's damages claim confirms that all the contracted cargo was carried at one of the ports during this period and about half at the second, including all for the 4-6 weeks before the Complaint was filed, leaving three months at the third port (where MSC was only one of three carriers Complainant had contracted with, with only 20% of the contracted volume, and did not contact MSC to book cargo for weeks on end.) See MSC Opp. to Motion for Leave to File Amended Compl. at 8. Complainant has not challenged and cannot challenge these basic facts, and no amount of discovery can change them.

What the Complaint is “all about” is, as Complainant has repeatedly alleged, MSC’s supposed failure to provide contractually agreed space. Count II of the Complaint expressly pleads MSC’s supposed failure to operate in accordance with a filed agreement, namely the service contract, and Complainant makes no effort to defend that count in its opposition. The unreasonable practices claim in Count I is simply an allegation that MSC had a “practice” of unreasonably failing to comply with its contractual obligations, supposedly for nefarious (and entirely implausible) purposes. The refusal to deal claim in Count V is now also essentially a claim that MSC refused to deal properly with Complainant under that contract. And the allegations of Counts III and IV do not state a claim under the Shipping Act, because they are cast solely in terms of discrimination against shippers, not ports.

This is not a case in which the service contract between Complainant and MSC is merely referenced in the Complaint, and MSC is not arguing that simply because it has a contractual relationship with Complainant there might not also be a Shipping Act claim arising out of that relationship. Here, the claim that MSC did not comply with its contractual commitments is absolutely fundamental to Complainant’s claims, and inherent in each of them. Complainant’s Shipping Act claims simply cannot be maintained absent the allegation that MSC did not fulfill its contractual commitments. Allowing the claims to go forward in this posture would read 46 C.F.R. § 40502(f) entirely out of the Act.

I. COMPLAINANT MAKES NO EFFORT TO DEFEND COUNT II, WHICH STATES A PURE BREACH OF CONTRACT CLAIM

MSC’s motion to dismiss demonstrated that Count II’s allegation that MSC failed to operate in accordance with a filed agreement, namely its service contract with Complainant, fails to state a claim. *See* MSC Mot. at 4 (citing Complaint ¶ 48, which alleges that the “foregoing conduct by each Respondent” is not in accordance with “its respective service contract with

MCS”). The Commission has no jurisdiction over breach of contract claims. *See Cargo One v COSCO Containers*, 28 S.R.R. 1635, 1645 (FMC 2000)(claims based on contract can be maintained only if “the party alleging the violation successfully rebuts the presumption that the claim is no more than a simple contract breach claim.”); *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, 2014 FMC LEXIS 11, at *55 (ALJ April 17, 2014)(applying *Cargo One* to dismiss claims alleging a “failure to address the MQC shortfall under the service contract”).

Complainant attempts in a lengthy footnote to distinguish *Global Link Logistics*, which is squarely on point, on the basis that an arbitration had been initiated in that case, but the distinction fails. *See* Compl. Opp. at 11 & n.5. MSC has not initiated an arbitration as to the 2021-22 contract year because that year is not yet complete and it is not known whether Complainant will or will not meet its yearly minimum quantity commitment. Should Complainant be successful in expanding this proceeding to the shortfall for the 2020-21 contract year, however, an arbitration as to the joined issue of Complainant’s liability for that shortfall would lie.

In tacit recognition of the infirmity of Count II, Complainant bundles its discussion of Count II in with other counts and does not discuss Count II separately in any way, much less address MSC’s argument on the point. *See* Compl. Opp at 8-12. Indeed, there is no reference to just “Count II” itself in the entire opposition. A claim for failure to operate in accordance with a service contract is a claim for breach of contract and Count II must be dismissed.

II. COUNT I MUST BE DISMISSED, AS IT IS INHERENTLY A BREACH OF CONTRACT CLAIM

Although Complainant’s opposition lumps Counts I and V together with Count II, and then discusses Count V again later in the opposition, MSC will discuss each claim separately. Complainant’s argument starts with the truism that conduct that might be a breach of a service contract might also be a violation of the Shipping Act. *See* Compl. Opp. at 8-9 (citing and quoting

Greatway Logistics Grp., LLC, v. Ocean Network Express Pte. Ltd., Dkt. No. 21-04, 2021 WL 3090768, at *2 (FMC ALJ July 16, 2021)). MSC has never argued to the contrary. Rather, MSC has shown that the Complaint raises claims that, though thinly dressed in Shipping Act language, are inherently breach of contract claims within the meaning of *Cargo One*. It is just as much a truism that not every claim arising out of a service contract states a Shipping Act claim within the Commission's jurisdiction, and Count I (like Counts II and V) reflects that truism. *See Cargo One*, 28 S.R.R. at 1644 ("For section 8(c) to have meaning, it must have been intended to preclude the filing of some complaints of Shipping Act violations, and not just breach of contract claims, as such claims would not be actionable before the Commission in any event.").

As MSC set out in its motion, having abandoned any suggestion that it is alleging any collusion or conspiracy, Complainant has confirmed repeatedly that its allegations depend fundamentally on allegations that MSC breached its contractual obligations to Complainant by failing to provide contractually agreed-upon space. *See MSC Mot.* at 13-14. MSC also explained that merely alleging a "course of conduct" of serial contractual breaches does not transform a breach of contract into a Shipping Act claim; the Commission has no more authority to adjudicate multiple breach of contract claims than to adjudicate one. *Id.* at 14-15 (citing *Global Link Logistics*, at *52-55 (dismissing claims involving the parties' "course of dealing" as "inherently contract claims" and did not "involve elements peculiar to the Shipping Act"). Complainant does not address this argument, but instead asserts that it has alleged "broader practices by Respondent impacting not only Complainant, but other shippers, as well." *Compl. Opp.* at 10 (emphasis removed). This argument does not address the problem at all. The so-called "practices," to the extent Complainant has any basis to allege them, are simply the same allegations of breach of contract, applied to other shippers.

Complainant's attempt to buttress its claim of unreasonable practices gives only passing mention to the existing Complaint, and segues immediately into a discussion of the allegations of its proposed amended complaint concerning peak season surcharges. *Id.* These peak season surcharge allegations are nowhere mentioned in the Complaint, even though the proposed amended complaint makes clear that Complainant paid such a surcharge in the 2020-21 contract year and that MSC sought one for the current contract year before the Complaint was filed. Proposed Amended Compl. ¶¶ 60-64. The Complaint does not mention surcharges at all, and the amended complaint thus advances a wholly new theory of the case.

Moreover, portions of the proposed amended complaint that Complainant does not cite make clear that this is also essentially a breach of contract theory. For example, paragraph 9 of the proposed amended complaint describes these peak season surcharges as an effort by MSC to allegedly "condition its compliance with its contractual service commitments on extracting additional payments from Complainant." Paragraph 42 likewise alleges a supposed MSC "practice of demanding a premium as a precondition to performing its contractual obligations." *See also*, e.g., Proposed Amended Compl. ¶52 ("scheme to condition Respondent's performance under the Service Contracts upon Complainant's agreement to pay PSS"); ¶ 104 (alleged practice to "coerce surcharges from customers as a precondition to carrying contracted cargo").

Again, the service contract is not merely background or incidental to the allegation of an unfair practice; the allegation is that MSC has a supposed practice of not complying with its contracts unless some condition is met. This is inherently a claim for breach of contract, and is barred by *Cargo One*. *See Cargo One*, 28 S.R.R. at 1639 (noting Complainant's argument that its claims "only incidentally are couched in the context of a service contract"); *id.* at 1645 (dismissing claims "premised on the obligation to meet one's contract commitments").

The fundamental implausibility of the theory advanced in the Complaint that MSC breached its contract in order to force Complainant and others into the spot market, which is a contractual theory in any event, is confirmed by its inconsistency with the new theory advanced in the amended complaint that MSC sought to coerce peak season surcharges rather than perform its contracts. The service contract itself provides that a peak season surcharge cannot be imposed unless both parties agree to it, and that the contract may be terminated on 30 days' notice if one is proposed and not agreed to. *See* Proposed Amended Compl. ¶43. If MSC truly wanted to force Complainant and others into the spot market it could have simply terminated the agreement after the surcharge was not agreed to, and there would have been no need for the elaborate "scheme" Complainant hypothesizes. Count I is at most inherently a breach of contract claim and must be dismissed.

III. COUNT V MUST BE DISMISSED FOR FAILURE TO STATE A CLAIM, AS IT STATES AT MOST A CLAIM THAT IS INHERENTLY A BREACH OF CONTRACT CLAIM

Complainant alleges two bases for its refusal to deal claim, citing no precedent supporting either. One is simply that MSC's "practice of failing to provide Complainant with its contractual space allocations in the course of providing service to MCS pursuant to its service contract . . . constitutes unreasonable refusal to deal or negotiate with MCS." Compl. Opp. at 16 (cleaned up). This claim must be dismissed as inherently a contractual claim for the reasons set out above. The claim that MSC refused to deal by not fulfilling its contractual obligations is inherently contractual on its face, just as is the claim that MSC had an unreasonable practice of not fulfilling its contractual obligations. Contrary to Complainant's assertion that MSC did not address this assertion in the motion to dismiss, MSC did so directly. *See* MSC Mot. at 10. (claim that MSC "refus[ed] to perform even under those limited service contracts,' Complaint ¶ 7, by its own terms

simply states a breach of contract claim outside the Commission’s jurisdiction.”) As Complainant notes, its proposed amended complaint simply sets out in more detail the same theories of alleged noncompliance with the contract. *See* Compl. Opp. at 16.

The second basis for the refusal to deal claim is that MSC allegedly “refused to provide MCS sufficient commitments in [its] advance service contract[], instead providing only a fraction of the space MCS needed at substantially higher prices.” *Id.* (quoting Compl. ¶ 30). MSC’s motion explained, citing precedent, that these allegations do not state a claim, because the Shipping Act does not guarantee the right to enter into a contract, much less a contract with any specific terms, and that a refusal to deal allegation requires more than that a request is denied. MSC Mot. at 10 (citing cases). Complainant’s opposition does not deal with this argument in any way, and makes no effort to address the precedent MSC cited. Nor does Complainant cite any supporting precedent of its own. The refusal to deal claim must therefore be dismissed.

There is accordingly no need to look to the testimony of Complainant’s transportation manager confirming that, in fact, MSC offered Complainant a contract of 1400 TEUs, that Complainant awarded MSC only 660 TEUs, and that MSC itself then worked that award up to 728 TEUs. *See* MSC Mot at 11. Complainant grumbles that this testimony has been “cherry picked,” but does not and cannot gainsay it. To the contrary, Complainant argues that it is “not inconsistent with the allegations of the Initial Complaint discussed above, which address the total amount of space Complainant needed for the current shipping year.” Compl. Opp. at 17. Again, Your Honor need not reach this point in light of Complaint’s failure to show, or even attempt to show, that its allegations state a claim under the Commission’s precedent, but it is worth pointing out the absurdity of Complainant’s current position that it even though it took less than half of the contract quantity MSC offered, MSC can be held liable for not offering more. Indeed, as also set out in

sworn testimony that Complainant cannot deny, Complainant chose to award to other carriers the contract quantity it did not award to MSC. Complainant protests that discovery in this case has not yet been completed, but no amount of discovery can alter these basic facts confirmed by Complainant's own witness.

IV. COUNTS III AND IV FAIL TO STATE A CLAIM AND MUST BE DISMISSED

MSC's motion to dismiss cited the plain language of the Shipping Act, legislative history explaining this language, and Commission precedent all establishing that, as to contract carriage as opposed to carriage under a tariff, the Shipping Act does not permit claims of discrimination against shippers, only discrimination against ports. *See* MSC Mot at 5-8. MSC also cited *Global Link Logistics*, 2014 FMC LEXIS 11, at *3-4 for the proposition that "[t]he Act permits a common carrier to charge different rates to similarly situated shippers in service contracts," and at *59-63 for an extensive discussion of the legislative and regulatory history supporting this conclusion.

Complainant's statement that MSC asserted this position "without citation" is thus flatly false. *See* Compl. Opp. at 13. Complainant's assertion that MSC's discussion and the cited authority applies only to the "me-too" service contract issue, *see id.*, is also incorrect, although the elimination of me-too rights under service contracts illustrates the general principle.

Having failed to address MSC's argument other than to misrepresent it, Complainant shifts to asserting that it has adequately alleged discrimination between ports. This is also incorrect. Complainant first argues that the Complaint alleges discrimination, prejudice, and disadvantage "with respect to the ports for which MCS contracted with Respondent." MSC Opp. (quoting and Compl. ¶¶ 26-27, 50, 52 (emphasis removed)). These allegations merely parrot the language of the statute, which is not enough. *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, 2015 FMC LEXIS 43, at *58 (FMC 2015) (affirming dismissal of a refusal to deal claim that was "an

insufficient formulaic recitation of the elements of a § 41106(3) claim”); *DIRECTV, Inc. v. Hoa Huynh*, 503 F.3d 847, 854 (9th Cir. 2007) (allegations “parrot[ing] the language” of the relevant statute were “not well-pleaded facts” but simply “legal conclusions”). The Complaint does not even mention any ports, much less sufficiently assert discrimination against them.

Complainant thus once again turns to its proposed amended complaint in an attempt to bail out its claims, arguing that it “contends that Respondent undertook a practice of failing to provide contracted space allocations to Respondent [sic, should be Complainant], and, upon information and belief, to other shippers, at certain of the ports identified in its service contracts in order to be able to sell that space from those ports on a spot-market basis at higher prices.” Compl. Opp. at 14. But as MSC pointed out in its motion to dismiss, the fact that alleged discrimination took place at a particular port or ports is not sufficient to bring it within the very narrow range of discrimination claims permitted with respect to contract carriage. *See* MSC Mot. at 6-7 (quoting S. Rep. No. 61, 105th Cong., 1st Sess., at 28 (1998))(prohibited actions must be “clearly targeted at a locality, not to circumstances where the actions are targeted at a particular shipper or ocean transportation intermediary which happens to be associated with that locality.”).

Since the Commission only has jurisdiction over transportation that includes a leg “between a port in the United States and a port in a foreign country,” *see* 46 U.S.C. § 40102 (6), ports are necessarily involved in every claim involving a shipper. Complainant’s allegations of practices directed to itself and “upon information and belief, to other shippers,” Compl. Opp. at 14, fall directly and squarely within this prohibition of claims that are targeted at shippers and not at a port or locality. *See also* Proposed Amended Compl. ¶ 90 (alleging the MSC engaged in unlawful discrimination “in connection with” multiple ports, not directed at multiple ports).³

³ Complainant makes no effort to explain why it would be at all rational to conclude that Congress intended to deregulate contract carriage as to U.S. shippers, but nonetheless sought to protect Chinese ports from

Complainant's last tack is to again argue that it should be entitled to discovery on its legally insufficient claims before they are dismissed, but this puts the cart before the horse. Complainant also suggests that Your Honor "apparently" decided this issue in connection with the motion to compel, Compl. Opp. at 13, but points to nothing in the order on that motion addressing it. It is true that MSC believed that it could raise the legal insufficiency of the discrimination claims in response to discovery directed to those claims, but Your Honor pointed out that no motion to dismiss those claims had been filed and so MSC has now filed one. In any event, now that Complainant has sought leave to amend its complaint, the issue of the legal sufficiency of its claims is squarely raised, and now in the lens of Complainant's various concessions and shifting positions. Complainant has cited no authority allowing claims to proceed under 46 U.S.C. §§ 41104(a)(5) or (9) where no allegation of discrimination *against* a port was made, and Counts III and IV must be dismissed.

CONCLUSION

The Complaint should be dismissed in its entirety for failure to state a claim.

Respectfully submitted,

/s/ Michael Scanlon

Michael Scanlon

John Longstreth

K&L GATES LLP

1601 K St. NW

Washington, DC 20006

(202) 778-9000

michael.scanlon@klgates.com

john.longstreth@klgates.com

discrimination. *See* 144 Con. Rec. S11302 (daily ed. Oct. 1, 1998)(Statement of Sen. Lott, during the floor consideration of the bill just before passage)("Mr. President, the Ocean Shipping Reform Act of 1998 focuses on the needs of America's small, medium, and large shippers, carriers, U.S. ports, and on our nation's dock workers.").

Ifigeneia Xanthopoulou
K&L Gates LLP
599 Lexington Ave.
New York, New York 10022
(212) 536-3956
ifigeneia.xanthopoulou@klgates.com

Counsel for Respondent
MSC Mediterranean Shipping Company S.A.

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CERTIFICATE OF SERVICE

I certify that, on January 14, 2022, a true and current copy of the foregoing Reply in Support of Respondent's Motion to Dismiss was filed via electronic mail with the Secretary of the Federal Maritime Commission, and a copy was served via electronic mail on the following:

Matthew J. Reynolds
Karl C. Huth
Sara G. Wilcox
HUTH REYNOLDS LLP
41 Cannon Court
Huntington, NY 11743
reynolds@huthreynolds.com
huth@huthreynolds.com
swilcox@huthreynolds.com

*Counsel for Complainant
MCS Industries, Inc.*

/s/ John Longstreth